

To: Chairman Doug Scott (Illinois Commerce Commission), Director Kristin Richards (Illinois Department of Commerce and Economic Opportunity)

From: Peter Pasholk

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RE: Illinois Data Center Policy

Executive Summary

Illinois is experiencing unprecedented growth in data center development. Driven by national demand, this growth has tradeoffs and is occurring across the state within a fragmented governance system that lacks planning, cost-allocation rules, and consistent permitting structures. As a result, the financial burden of grid expansion is increasingly shifted onto Illinois rate payers, who have already seen capacity charges rise by 775% (ICC, 2025). Without policy intervention, Illinois risks building duplicative infrastructure, increasing energy costs, and fueling community opposition.

While there are many technical approaches to managing data centers, this memo will focus on the policy interventions available to state agencies. This project evaluates Illinois' policy landscape through a literature review, case comparison, and a SWOT analysis to identify feasible, equitable, and sustainable reforms. The research highlights several strengths, including the state's positioning as a network hub, strong workforce, available land, and existing clean energy mandates, which would propel Illinois as a leader in the sector. However, challenges in fragmented permitting, aging infrastructure, and consumer cost-shifting threaten long-term viability. Opportunities exist for state planning to align federal grid modernization efforts with downstate development. Threats include resource scarcity, market competition, and rising public resistance.

This analysis concludes that Illinois should adopt a hybrid policy framework that combines coordinated regional planning, strict cost-causation frameworks, and performance-based incentives. Short and long-term action plans are provided to guide implementation and strategy options during Illinois two-year moratorium on incentives.

Introduction

Illinois is emerging as a national hub for data center development with more than 220 facilities already operating and dozens of new proposals across cities such as Chicago, DeKalb, Elk Grove Village, and Champaign (Henrickson, 2026; IL DCEO, 2024). This expansion is driven by national demand for cloud computing and AI services. Illinois, specifically, acts as a spill-over state and has been able to keep pace nationally as other states hit their capacity (Walker & Goldsmith, 2026). Unfortunately, the speed and scale of growth have outpaced Illinois existing infrastructure and regulatory framework (IL DCEO, 2024). The state's fragmented governance is split across utilities, local governments, and state agencies, creating inconsistent siting and

permitting, unclear cost-recovery procedures, and uncoordinated planning (Henrickson, 2026). The lack of organization and state leadership has created gaps, resulting in significant costs being shifted to residential consumers, who face rising electricity bills as utilities expand to meet the needs of large-load customers like data centers (ICC, 2025).

Research objectives:

1. Identify metrics and frameworks for evaluating the tradeoffs of rapid data center development.
2. Assess Illinois' current policy landscape and review existing solutions.
3. Conduct a SWOT analysis to evaluate the feasibility of recommended reforms.
4. Use an IE2 matrix to propose and prioritize actionable short- and long-term policy recommendations.

Review of Existing Policy Solutions

Research Approach:

This literature review draws on regulatory filing from the Illinois Commerce Commission (ICC) and the Illinois Department of Commerce and Economic Opportunity (DCEO), technical reports from Lawrence Berkely National Laboratory, policy analyses from Brookings and the World Resources Institute, and recent reporting on Illinois' data center proposals.

Existing Policy Solutions:

1. Coordination-Based Solutions

What they are: Coordination-based solutions require utilities, grid operators, and governments to jointly plan for large-load growth. This includes standardizing forecasting, integrated resource strategies, and siting strategies on the regional scale, not just local.

How they work:

- a. Require utilities to submit large-load forecasts and integrated resources plans on regional scales (ICC, 2025).
- b. Align state planning with federal cluster-based interconnection reforms to achieve federal standards and access federal incentives and resources (FERC, 2023).
- c. Create transparent, regional planning processes that incorporate local input without preempting local authority.

Relevance to Illinois

Pros: Reduces duplicative infrastructure while helping local governments anticipate impacts and supporting long-term planning while creating economies of scale for developers.

Cons: Requires new administrative capacity and may face resistance from home-rule municipalities.

2. Cost Allocation Solutions

What they are: Policies that ensure those who create new grid costs must pay for them, rather than shifting costs onto residential ratepayers

How they work:

- a. Cost-causation principles require that costs to build new infrastructure be assigned to entities that created the demand for new capacity (Philo, 2024)
- b. Require upfront financial commitments from developers.
- c. Standardize interconnection cost-sharing frameworks.

Relevance to Illinois

Pros: Directly addresses the increases to Illinois ratepayers and control capacity charges while fostering predictable financial expectations.

Cons: May reduce Illinois' competitiveness if neighboring markets offer more generous subsidies or utility rate structures.

3. Incentive-Based Solutions

What they are: Tax credits, community benefits and agreements, and performance-based incentives tied to efficient energy use, renewables, or peak-load management.

How they work:

- a. Condition incentives on meeting energy or water usage standards.
- b. Use community benefits and agreements to secure infrastructure investments up front.
- c. Scales incentives based on actual performance and operation metrics.

Relevance to Illinois

Pros: Allows Illinois to remain competitive while steering development towards public goals and specific regional distribution.

Cons: Unrealistic performance standards can be counterproductive to development.

Recommended Policy Solutions

Based on the literature review and the opportunities and constraints unique to Illinois, the most effective approach is a hybrid policy framework that combines coordination-based solutions through regional planning, strict cost-causation and cost causation reforms, and performance-based incentives. This integrated model will address the core challenges of fragmentation, cost shifting, and uncoordinated growth while leveraging the state's strengths as a national data center hub.

Assessment of the Recommended Policy Solutions

Data and Method:

This analysis uses a mixed methods approach that combines quantitative energy and economic data with qualitative policy review to evaluate the feasibility and tradeoffs of a hybrid policy framework in Illinois. This section explains how data was collected, the analytical tools that were applied, and the criteria used to determine the Strengths, Weaknesses, Opportunities, and Threats (SWOT) of Illinois' policy environment.

The quantitative component used state-level energy consumption, production, and pricing data as well as information on projects proposed for assessing grid strain, cost burdens, and long-term energy trends. The qualitative component synthesized findings from peer-reviewed research and reports relevant to data center infrastructure and regulatory design, including coordination-based planning, cost-causation principles, and incentive-based regulatory models.

SWOT Analysis:

To conduct the SWOT analysis in Table 1, each factor was evaluated on whether it originated within Illinois' policy and governance system (internal) or from a broader market or condition (external) and whether it increased Illinois' capacity to implement reforms (strengths/opportunities) or created barriers to implementation (weaknesses/threats).

Each SWOT factor was derived directly from the empirical data and literature. Strengths refer to the internal attributes that enhance Illinois' ability to manage data center growth effectively, while weaknesses represent internal limitations that hinder policy implementation. Opportunities are external conditions that Illinois can leverage to improve outcomes, where threats are external risks that could undermine success.

IE2 Analysis:

In addition to the SWOT analysis in Table 1, this evaluation incorporated an Impact-Influence (IE2) matrix to prioritize policy actions. The IE2 matrix evaluates each factor, particularly weaknesses and threats, based on the degree of control state policy makers have over it (influence) and the effect it has on the success of data center policy reform (impact). The matrix also evaluates the magnitude of the factors' impact and whether it is an advantage (+) or disadvantage (-).

The IE2 matrix in Table 2 mapped out SWOT criteria into these two dimensions, allowing for the analysis to prioritize factors and offer strategic direction. Depending on the level of control, the matrix suggests policy strategies of confront, mitigate, exploit, or monitor depending on if opportunities or risks were presented.

Confront refers to the factors where the state has high control and high negative impact, requiring immediate intervention. Mitigate describes factors with moderate or limited control but significant negative impact, where regulation is required to reduce risks. Exploit applies to high-impact positive factors where the state has sufficient control to leverage an advantage for strategic gain. Finally, leverage refers to moderate factors with moderate control, where tools such as incentives can be used to guide beneficial outcomes.

Report on SWOT analysis

This SWOT analysis in Table 1 evaluates Illinois' position across the full lifecycle of data centers, including attraction, resources use, regional balance, and social license. Illinois is in a goldilocks position for facilitating the data center industry that the state must capitalize on. It possesses the foundational assets to be an industry leader but is lacking the policy framework to make it most cost effective and efficient.

The SWOT analysis depicts Illinois as a high potential, but structurally constrained environment for data center development. Internally, the state already has an established market, has an existing global tech hub, and is projected to grow competitively through the end of the decade (Landgate, 2025; Walker & Goldsmith, 2026). Further, Illinois has a clean energy baseline from nuclear energy, stable energy demand shown in Figure 1, and strong economic momentum

reflected in the billions of dollars in committed pipeline and potential tax revenue (IL DCEO, 2024). Even more promising, Illinois possesses great human capital and a very well educated workforce with existing incentive frameworks that can effectively put policy into motion with great efficiency (IL DCEO, 2024).

However, these strengths are offset by critical internal weaknesses, specifically political fragmentation and risk of duplicative infrastructure and reduced economies of scale. Regulatory friction, driven by fragmented permitting, home rule governance, and complex utility rate structures, create delays and uncertainties. These misalignments between local and state direction highlight the absence of coordination-based solution and standardization, exacerbating market weaknesses, while cost-recovery mechanisms shift these financial burdens onto residential customers, increasing electricity bills by over 30%, shown in Figure 2 (ICC, 2025; Nicdao-Cuyugan, 2025; US EIA, 2025). This reflects a lack of enforced cost-causation principles. The state's aging grid requires significant reinvestment, further driving upfront costs, compounding inefficiencies (Walker & Goldsmith, 2026).

Externally, Illinois is well-positioned to capitalize on substantial growth opportunities as a “relief valve” for high capacity market (Landgate, 2025). This means that Illinois can take on more data centers as coastal hubs reach capacity. The state has the tools to legislate and execute innovative policy that aligns with federal grid modernization initiatives and incorporate clean energy and adaptive utility rates while leveraging incentive-based solutions such as performance-based tax credits and community benefit agreements to ensure development is aligned with public goals (Henrickson, 2026; ICC, 2025).

At the same time, the state faces significant external threats. Resource constraints, particularly related to how much water and electricity we can produce, risk outpacing supply as large-load demand accelerates (ICC, 2025; Nicdao-Cuyugan, 2025; US EIA, 2025). Broader economic volatility, including fuel prices, extreme weather, regulatory differences between localities, and competition from other states, increases uncertainty. Most importantly, growing community opposition, driven by concerns over land use, noise, and the perceived connection of rising energy demand and utility bills, pose the most critical risk required for policy to address (Henrickson, 2026; Landgate, 2025).

Report on IE2 Matrix

The IE2 matrix highlights a clear pattern that Illinois' most important actions center on addressing the structural risk where the state has both high control and high impact. The confront categories, like utility cost structure, represent the most immediate and effective reform levers. Because the state has direct regulatory authority over cost-recovery mechanisms, these reforms would do the most to safeguard costs being shifted onto residential ratepayers. Similarly, permitting and water-use regulations require proactive standardization. Frameworks that tie standards and permitting into incentives would reduce uncertainty, align development with infrastructure capacity, and address emerging community concerns.

There is also a second tier of medium risks beyond the priority interventions. Grid constraints, community opposition, and fragmented development landscapes present significant issues but

involve shared authority across several stakeholders. As a result, coordination-based strategies and uniform standards in permitting can mitigate threats where control is low.

The matrix highlights key opportunities that Illinois can exploit or leverage. High-impact advantages, such as Chicago's established network hub and downstate land availability, should be strategically exploited to encourage balanced development. More moderate control opportunities through state incentives can also be leveraged to steer development towards public goals and reducing community opposition. Finally, while rapid market growth remains outside of the state's control, monitoring broader market demands along with internal forecasting and data planning can ultimately manage the pace of expansion in Illinois.

Discussion of the results

Illinois is well positioned to lead in data center growth, but only if it actively aligns its internal assets with more coordinated policy and infrastructure strategies. The SWOT analysis shows that Illinois can leverage internal strengths, such as its global network hub, clean energy baseline, and strong workforce. The IE2 matrix identifies Illinois' highest priorities to address through policy reforms. The analysis shows that failing to address the weaknesses, especially the fragmented planning and cost shifting, will erode public trust and jeopardize long-term competitiveness.

Taken together, these analyses directly support the hybrid policy framework. Illinois' strengths, particularly with being an existing global hub, clean energy baseline, and workforce capacity, create the foundation necessary for coordination-based planning. Similarly, the IE2 findings reinforce assets like technology hubs like Chicago or the availability of land in downstate markets should be actively leveraged or exploited to foster innovative data center design.

At the same time, Critical weaknesses such as fragmented permitting and rising utility costs align with the IE2 matrix's highest-priority confront category, indicating that reforms to utility costs structures and statewide permitting represent the most immediate and high-impact policies to protect rate payers. External opportunities, including federal alignment and continued market growth, justify leveraging state incentives to support performance-based incentives to strategically direct development. Ultimately, uncontrollable forces such as explosive market demand should be monitored to manage, instead of control, the pace of growth through improved forecasting and central oversight.

Reform Recommendation

Illinois' data center boom presents both a near-term governance challenge and a long-term economic opportunity. Left unmanaged, rapid growth risks straining the electric grid, driving up rates and intensifying inefficiencies associated with uncoordinated large-load growth.

Short Term (0-2 Years)

In the short term, during the moratorium on state funding, Illinois policy must stabilize regulations and cost environments. The most important policy must include utility cost reform and institute structures that prevent increasing residential rate payer burden by enforcing cost-causation principles that require developers to fund a proportional share of grid upgrades while

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standardizing permitting through centralized incentives. Additionally, Illinois should begin implementing coordination-based solutions and building regional planning and management capacity by requiring utilities to submit large-load forecasts. Stakeholder identification and building partnerships is recommended in the near term as well as aligning long-term, uniform goals.

Long Term (3-10 Years)

For long term strategies, Illinois must transition to a proactive growth strategy that uses state incentives, tied to performance criteria, as a steering mechanism to drive growth. Incentive-based solutions should scale benefits based on actual performance and outcomes honoring community benefit agreements to secure further development funding. Expanding development downstate can relieve pressure on Chicago while distributing economic benefits more equitably. This phase of Illinois policy execution should start with aggressive permitting and breaking ground on regional hubs. Over time, coordination-based efforts should evolve into fully integrated regional institutions. Long-term policy considerations would focus on further consolidating costs by regionalizing operations and secondary developments.

Conclusion

This project set out to identify the core challenges of Illinois' rapidly expanding data center sector and evaluate the feasibility of solutions. The research finds that Illinois' fragmented governance and cost-recovery structures threaten both economic competitiveness and public trust. However, the state's strong infrastructure, workforce, and market position create actionable opportunities for leadership.

A hybrid policy framework that combines coordination-based regional planning, allocation reforms that address cost-causation concerns, and incentives based on performance outcomes offers an effective path forward. Implementing the short- and long-term strategies will allow Illinois to manage data center growth sustainably, protect ratepayers, and position itself as a nation leader in data center policy and innovation.

The main challenge faced by the state is not whether the sector will grow, but whether it will be coordinated or a scramble. Illinois has great strengths that will continue to secure data center investment. Policies and institutions formed during the state moratorium can guarantee long-term, sustainable success by actively shaping markets and addressing inefficiencies for the benefit of ratepayers. With strategic development Illinois can be a leader in both data center capacity and innovation.

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Appendix 1. SWOT analysis Table.

Table 1. Illinois Data Center Policy SWOT Analysis

	Positive forces	Negative Forces
Internal Factors	Strengths: • Established Digital Infrastructure: Chicago is a top-tier global network hub with 220+ existing data centers (Henrickson, 2026). • Energy Profile: Significant clean energy baseline (nuclear) and a highly structured regulatory environment. • Economic Momentum: Massive committed investment (\$8B+) and proven tax revenue generation (\$3.5B+) (IL DCEO, 2024). • Human & Physical Capital: Highly educated workforce, research capacity, and available land in secondary/downstate markets. • Policy Readiness: Establish Illinois "relief valve" status for overloaded competitive markets and existing tax incentive frameworks (Landgate, 2025). • Job Creation: Estimated 4000-8000 construction jobs and 591 permanent positions (IL DCEO, 2024).	Weaknesses: • Infrastructure Gaps: An aging grid requiring massive reinvestment and a lack of comprehensive statewide water planning (Walker & Goldsmith, 2026). • Regulatory Friction: Fragmented permitting/zoning processes and a complex, consumer-facing utility bill structure. • Fiscal/Strategic Lag: Grid investments are lagging behind demand; recent pauses in state funding create uncertainty. • Cost Pass-Through: Current "cost recovery" structures put the burden of data center expansion directly on residential consumers. • Fragmented permitting and lack of statewide coordination increase development timelines, administrative burden, and infrastructure redundancy • Control is primary fiscal, through incentives, rather than mandates due to Illinois being a home rule state.
External Factors	Opportunities: • Market Growth: Projected 500% industry growth by 2030 and rising demand for "Tier 3" capacity markets (Landgate, 2025). • Federal Alignment: Accessing federal grid modernization incentives and corporate ESG pressures for clean energy (ICC, 2025). • Innovation in Policy: Implementing "BYO Clean Energy" plans and adaptable rate mechanisms to manage load intelligently (Henrickson, 2026). • Regional Development: Leveraging "downstate" development to balance the concentration in Elk Grove/Chicago (IL DCEO, 2024).	Threats: • Resource Scarcity: Global water scarcity and regional grid capacity constraints that could outstrip supply (ICC, 2025) • Market Competition: Rival hubs offer lower startup costs, clearer incentives, and faster speed-to-market (IL DCEO, 2024; Turner Lee & West, 2025). • Economic Volatility: External shocks (weather, fuel prices) and regulatory conflicts between state and federal agencies (Goetzel et al., 2026). • Social License: Rising community opposition regarding noise, land use, and the "decoupling" of energy demand vs. rising prices (ICC, 2025; Nicdao-Cuyugan, 2025).

	• Highly fragmented development landscape (17 firms, 28 proposals) leads to uncoordinated siting, duplicative grid investments, and reduced economies of scale (IL DCEO, 2024).
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Appendix 2. Impact-Influence Analysis.

Table 2. *Illinois Data Center Policy IE² Matrix*

Factor	Control (Influence)	Impact (Scale)	Interpretation	Strategic Elaborations
Chicago Hub Location	Low	High (+)	Exploit	Leverage the network "gravity" to attract high-value R&D, not just data centers. Maximize the multiplier effect to attract permanent jobs, tech jobs that feed a greater "tech industry".
Utility Cost Structure	High	High (-)	Confront	Reform cost-recovery models to prevent residential "rate shock." This is our highest leverage internal lever. Confronting means a proactive legislative fix for how costs are passed onto consumers to maintain the social license
Grid Capacity Constraints	Medium	High (-)	Mitigate	Fast-track "BYO Clean Energy" policies and demand-response programs. Because this relies on private utilities, the state can mandate prioritization of upgrades through the ICC
State Incentives	Medium	Medium (+)	Leverage	Pivot tax breaks toward centers that meet specific "green" or "water-wise" KPIs. No "blank checks", incentives should be a steering wheel to direct investment into underutilized secondary markets
Water Scarcity/Planning	High	High (-)	Confront	Unlike electricity, water rights and usage is managed through local ordinance. Codify statewide water-use standards before community opposition peaks. It is critical to propose a state-wide water standard targeted at high-intensity users
Secondary Market Land	High	Medium (+)	Exploit	Use zoning "on ramps" to push development downstate and relieve the Chicago grid. While Chicago quickly becomes "full", downstate offers additional potential. The state has high control over development grants. Exploit this by creating hot zones in secondary markets.

Explosive Market Demand	Low	High (+)	Monitor	Treat demand as a wave to be managed, rather than a goal to be pursued at any cost. The state cannot stop or start the 500% projected growth of external markets. As control is low, Illinois should monitor the pace of applications and new proposals through a unified application portal. This way, the ICC will be able to proactively avoid demand shocks.
Community Opposition	Medium	Medium (-)	Mitigate	Standardize noise and land-use ordinances to provide developers with "clear rules of the road." The state has medium control over zone guidelines. Mitigate this by drafting standardized ordinances with pre-vetted standards as a tool to local governments that allow for public comment.
Fragmented Permitting	High	High (-)	Confront	Standardize statewide permitting and siting by influencing market-driven decisions through access to state incentives and centralized approval pathways when development aligns with high-level transmission planning.
Fragmented Developer Landscape	Medium	High (-)	Mitigate	Encourage clustering, network efficiency, and hub development using incentives to direct co-location. Pursue regional-level development and encourage regulated monopolies to facilitate economies of scale. Provide competitive opportunities for small developers to provide discrete services in support of larger development. Suggest a data center "task force" through ICC to aggregate proposals toward an organized, streamlined stance.